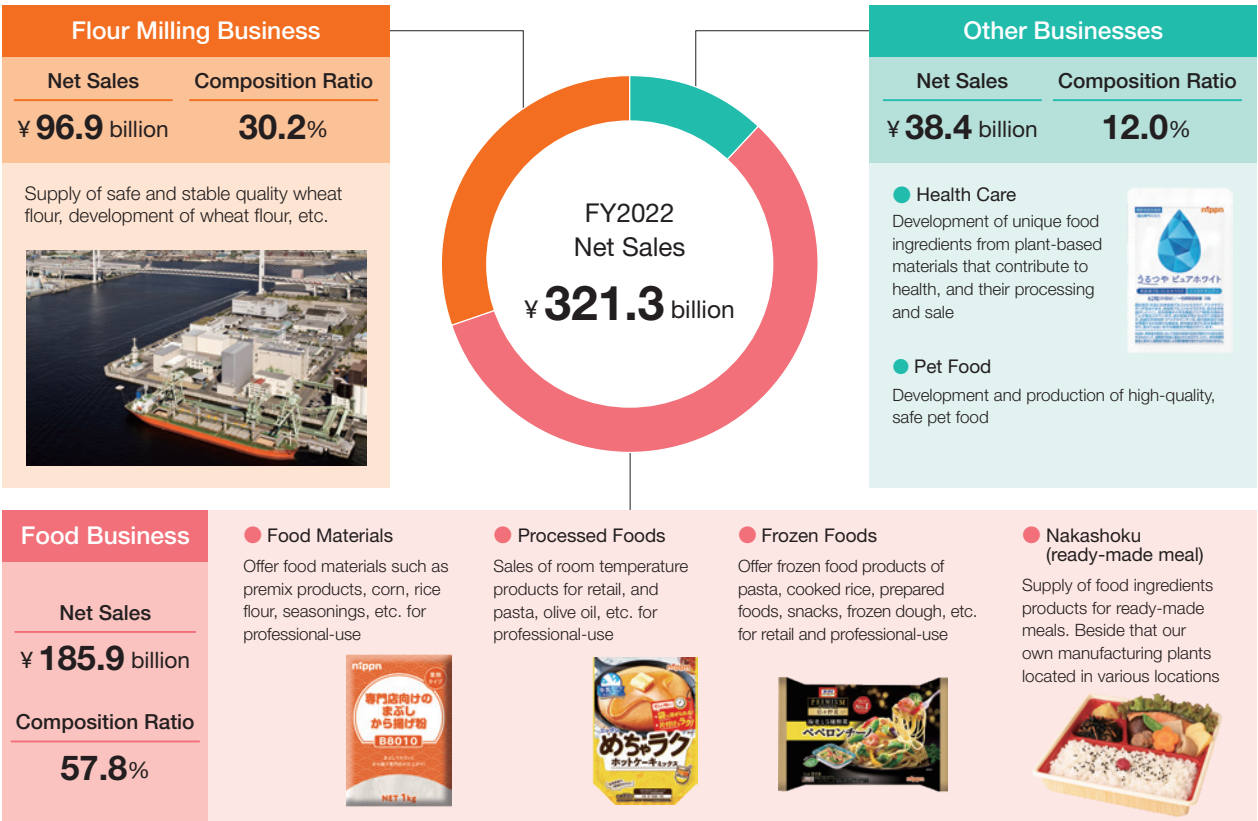


We are developing responsible business as a comprehensive food company

Since our foundation in 1896, we have been diversifying our business by starting from Flour Milling and expanding to Food and Nakashoku (ready-made meals). In the fiscal year ended March 31, 2021, the Food business accounted for about 60% of the Group's net sales. In recent years, we have been focusing on environmentally friendly products such as plant-based food*1 and upcycle products*2, and are developing our business more responsibly than ever before.

*1 Plant-based ingredients that reduce the environmental impact of raising livestock
*2 Products upgraded with added value that would otherwise have been discarded

NIPPN's Businesses



FY2022 Net Sales

¥321.3 billion

Main Products and Businesses



Flour Milling Business

Japan's first new durum wheat variety "Setodure"



Other Businesses

Long-selling health food

40 years



Wheat Germ "Family Germ"

Japan's first flour clay flower "Pan no Hana"



* Current product names and packaging

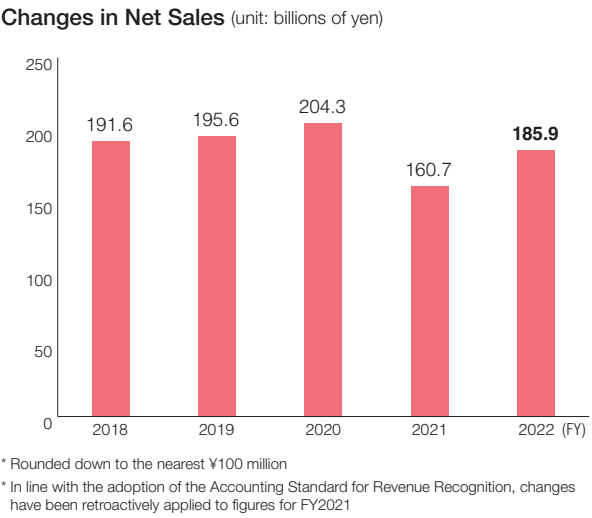
Food Business

We offer a wide range of products for professional and home use, including premix products and other food materials, processed foods (pasta, pasta sauces, etc.), and frozen foods (pasta, cooked rice, etc.).

Achievements in FY2022

Sales of retail processed foods were lower than the previous fiscal year due to a rebound from the previous year's stay-at-home consumption demand. However, sales of Frozen Foods were significantly higher than the previous fiscal year as a result of an increase in the number of customers seeking convenience in their meals and aggressive advertising activities such as TV commercials. In the Foods business for professional-use and Nakashoku (ready-made meal) businesses, despite the impact of sluggish demand caused by the COVID-19 pandemic, demand was on a recovery trend compared to the previous fiscal year, and sales were higher.

Sales in the Food business as a whole increased year on year, and operating income decreased year on year.

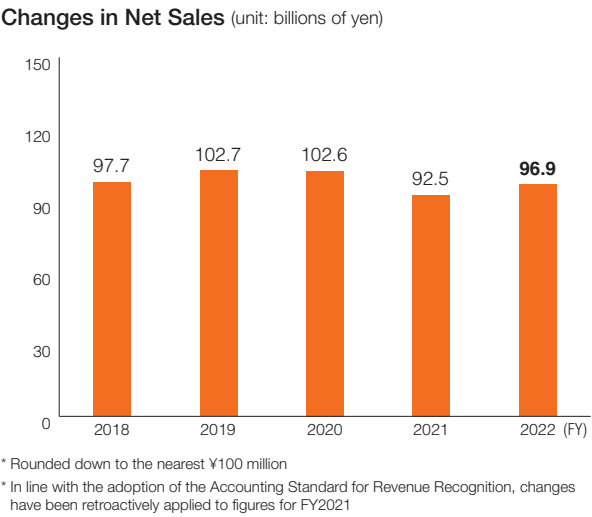


Flour Milling Business

We have eight mills in Japan, and provide a stable supply of wheat flour under a thorough management system from procurement of raw materials to production and shipment.

Achievements in FY2022

As a result of efforts to bolster initiatives with customers and strengthen sales and brand power by focusing on the promotion of problem-solving sales, sales of wheat flour and wheat bran, a by-product from flour milling, increased in FY2022, and total sales and operating income of the Flour Milling business exceeded that of the previous year.

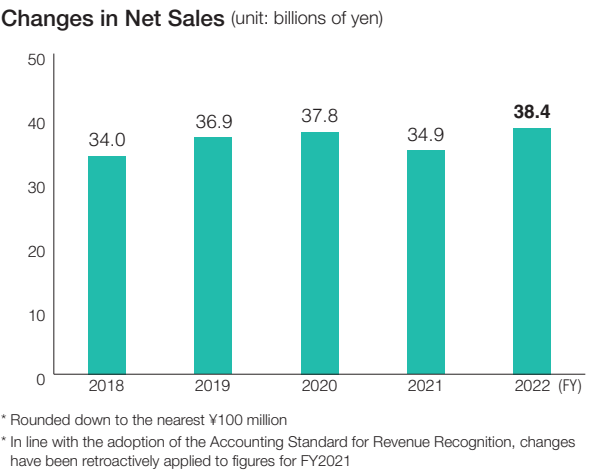


Other Businesses

In addition to the Health Care business, we are engaged in businesses that make use of our food know-how, such as the Pet Food business, the Engineering business, and the management of classrooms that make flowers from flour clay.

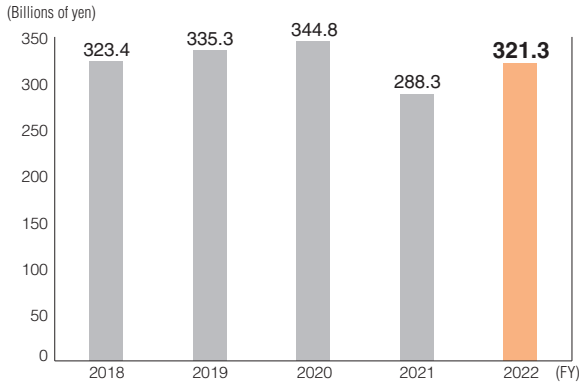
Achievements in FY2022

Sales in Other businesses increased and operating income decreased year on year in FY2022 due to the strong performance of the Pet Food business and an increase in inquiries for large-scale construction projects in the Engineering business.

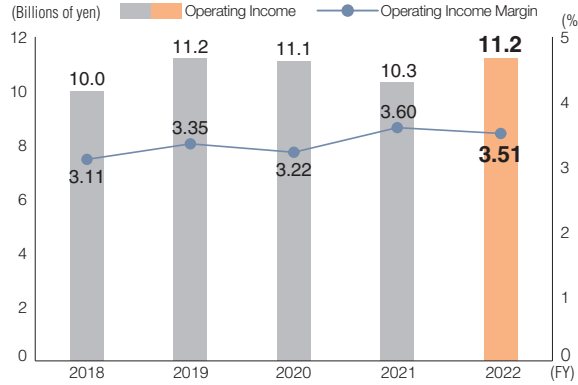


Financial Highlights (Consolidated)

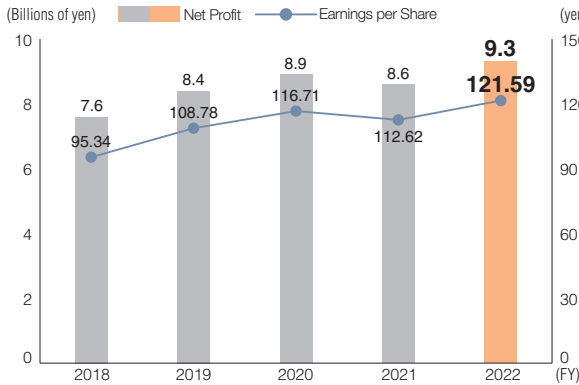
Net Sales



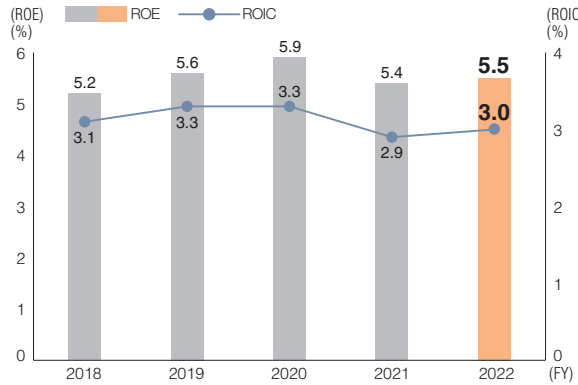
Operating Income / Operating Income Margin



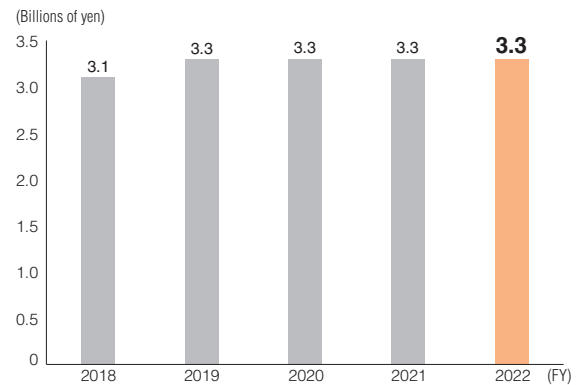
Profit Attributable to Owners of Parent / Earnings per Share (EPS)



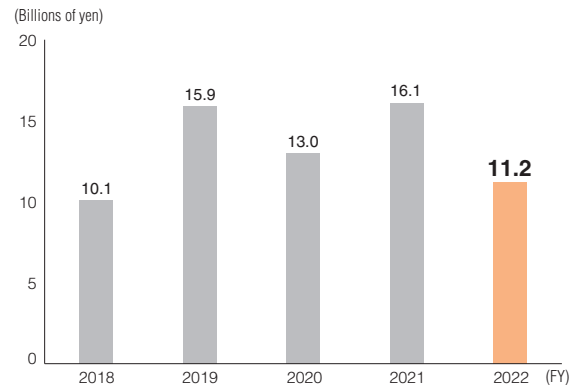
Return on Equity (ROE) / Return on Invested Capital (ROIC)



Research and Development Expenses



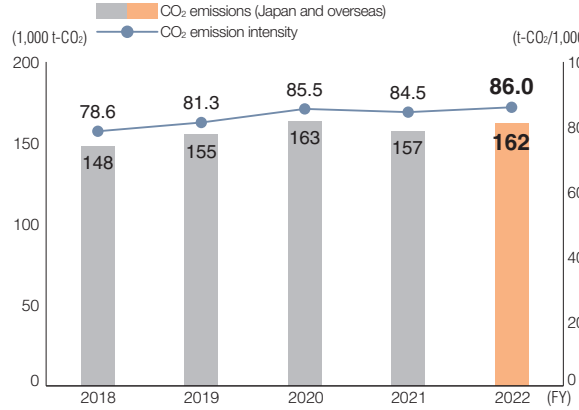
Capital Investment Amount



(Note) The Accounting Standard for Revenue Recognition and other standards have been applied from FY2022, and have been retroactively applied to the figures for FY2021

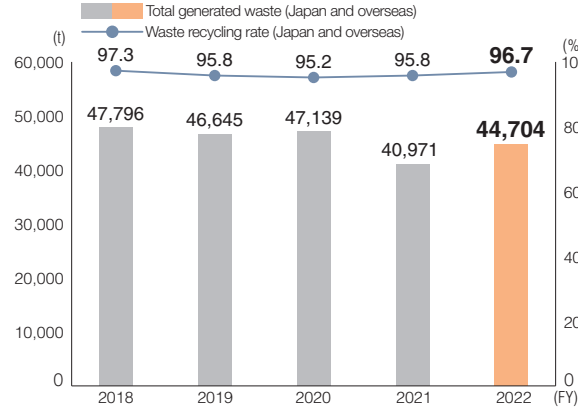
Non-Financial Highlights (Non-consolidated unless otherwise stated)

Changes in CO₂ emissions*¹ and CO₂ emission intensity*²



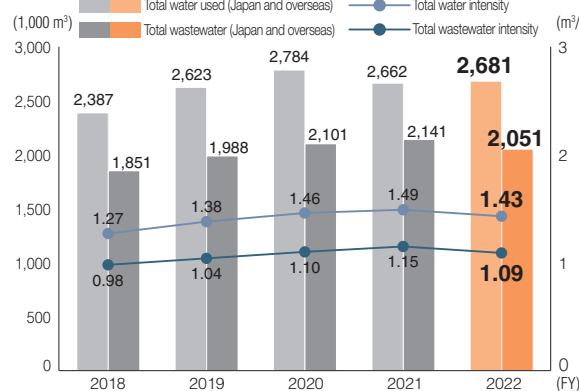
*1 Consolidated
*2 NIPPON and consolidated subsidiaries with manufacturing departments

Changes in total generated waste and recycling rate*¹



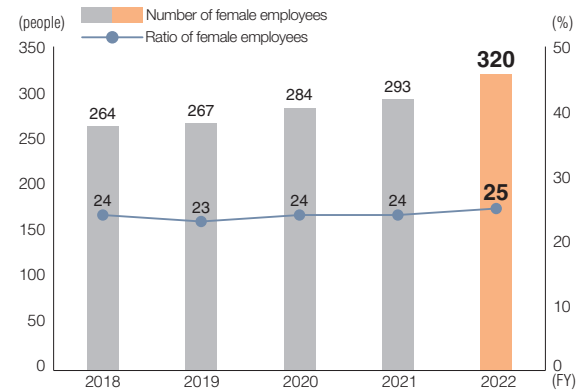
*1 Consolidated

Changes in amount of water used and discharged*¹, and each intensity*²

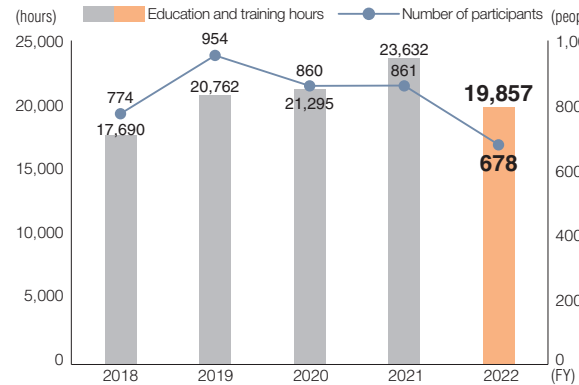


*1 Consolidated
*2 NIPPON and consolidated subsidiaries with manufacturing departments

Number of female employees / Ratio of female employees

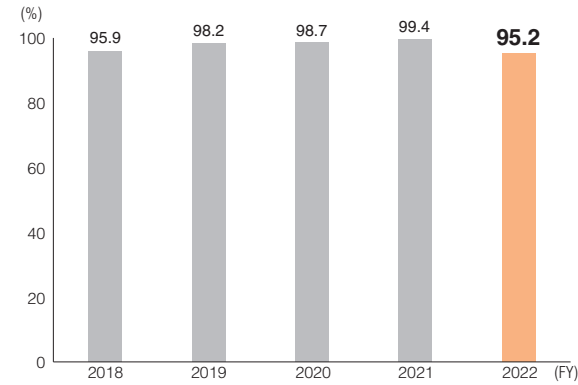


Education and training hours / Number of participants*¹, *²



*1 The training-related figures above are limited to those led by the Human Resources Div., and does not include training by other business departments.
*2 The calculation method has been changed from FY2022. Data in and prior to FY2021 have also been recalculated.

Stress check response rate



Message from the Director in Charge of Finance

Doing our utmost to realize the company's medium- and long-term objectives, by positioning the improvement of capital efficiency as a vital issue, and accelerating investment to achieve growth.

Takaaki Aonuma
Managing Director



NIPPN's Business Portfolio and Looking Back on FY2022

NIPPN's businesses comprise the Flour Milling business, Food business and Other businesses. In terms of the profit structure, the Flour Milling business and the Food Materials segment within the Food business account for the largest share of profits, with the Flour Milling business in particular having maintained stable profitability. However, this business is being affected by the fact that the Japanese market is shrinking due to the falling population, so from the point of view of future growth, the Frozen Foods segment within the Food business will be an important driver of growth in the future. NIPPN has been steadily growing its market share in the Frozen Foods business. Currently, our original high-value-added and high-price-band products are attracting a lot of positive comment, and are growing into an important source of revenue for the company.

By comparison with the situation in FY2021, when the COVID-19 pandemic had a severe negative impact, the effects of the pandemic had eased in FY2022, and sales revenue rose back up to around the same level as in FY2020. Besides a recovery in demand in the Flour Milling business, and the support provided by a rise in the price of wheat bran, the Food business also saw a gradual recovery in demand for both the restaurant segment and Nakashoku (ready-made meals) for the convenience store segment. However, we still need to keep a close eye on the global rise in energy, transportation and raw materials costs.

Realizing an Enhancement in Capital Efficiency, With the Aim of Achieving Our Targets for FY2027 and Our Long-term Vision

Our basic financial strategy of applying the cash flow from the Flour Milling business, which plays a core role as the stable foundation of our business, to support growth businesses remains unchanged. More specifically, we will be allocating this in an optimal manner to the Frozen Foods, Nakashoku (ready-made meals) and Health Care segments, which are positioned as growth areas for the future, and to Overseas business development, and going forward we will strive to continue our transformation into a comprehensive food company. In our financial strategy, we are constantly

focused on realizing an optimal capital structure through the efficient use of capital. For this reason, asset reduction in relation to balance sheet optimization, and improvement of profitability, constitute key issues for us. Our medium-term financial objectives for FY2027 are to achieve annual operating income of at least 15 billion yen, return on equity (ROE) of at least 6%, and return on invested capital (ROIC) of at least 4%. With regard to fund procurement, we will attach the highest priority to the maintenance of our credit rating, while also considering the use of various different funding methods, including procuring funds from external sources and conversion of company assets.

An Investment Strategy With a Clear Decision-making Process

We have clarified our standard for ROIC, in order to get a clear picture of profitability as a criterion for investment decision-making in the future. Besides making the process used for investment-related decision-making clearer, we are also aiming to enhance capital efficiency with the aim of improving profitability. In addition, we are planning to strengthen long-term profitability by promoting labor-saving measures in labor-intensive production processes and by investing in digital transformation (DX) throughout the company.

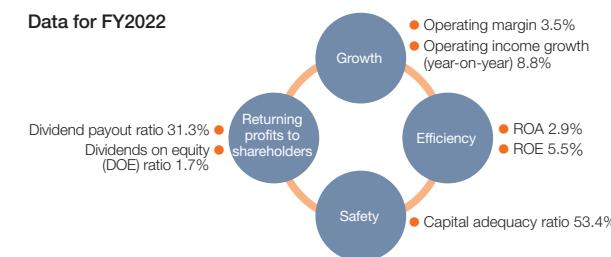
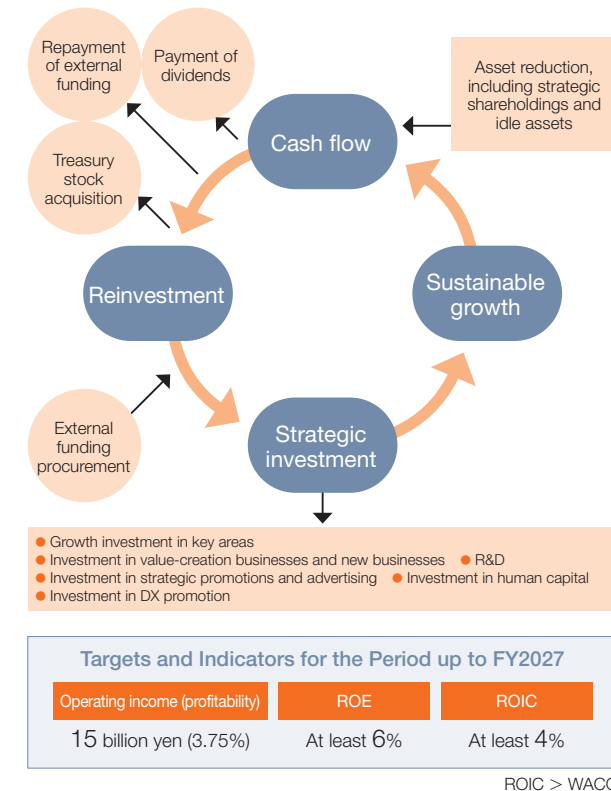
For Our Stakeholders

NIPPN CORPORATION has announced that the company's dividend payout ratio for FY2023 will be at least 30%. With the maintenance of stable dividends as our first priority, we are aiming to increase dividend payouts by raising the amount of profit available for dividend payment. Regarding the acquisition of treasury stock, we are always willing to consider this, within the limits imposed by the amount of free cash flow available. As regards strategic shareholdings, we continue to engage in discussions aimed at reducing these, based on a clarification of the purpose for which the shares are being held.

For NIPPN, achieving our medium-term targets represents a commitment that we have made to our stakeholders. Going forward, we will be doing our utmost to enhance corporate value by attaching the utmost importance to the enhancement of capital efficiency, investing in projects that offer high profitability, and focusing on strengthening the NIPPN brand.

NIPPN's Financial Strategy

Financial Approach and Management Indicators



Returning Profits to Shareholders

NIPPN believes that returning profits to shareholders is an important issue for management. Our basic strategy in this regard is to implement profit distribution while strengthening the company's fundamentals and taking into account the needs of future business expansion and of near-term performance.

Our goal is to achieve a steady, continued increase in the extent to which profits are returned to shareholders, aiming to have a dividend payout ratio of at least 30%. Seeking to strengthen the company's financial health, we will endeavor to maintain stable dividends, while monitoring the business environment carefully. As an expression of gratitude to our shareholders, the dividend awarded in FY2022 was increased by 2 yen per share, for a total annual dividend payment of 38 yen per share.

We are also implementing the acquisition of treasury stock in a flexible manner.

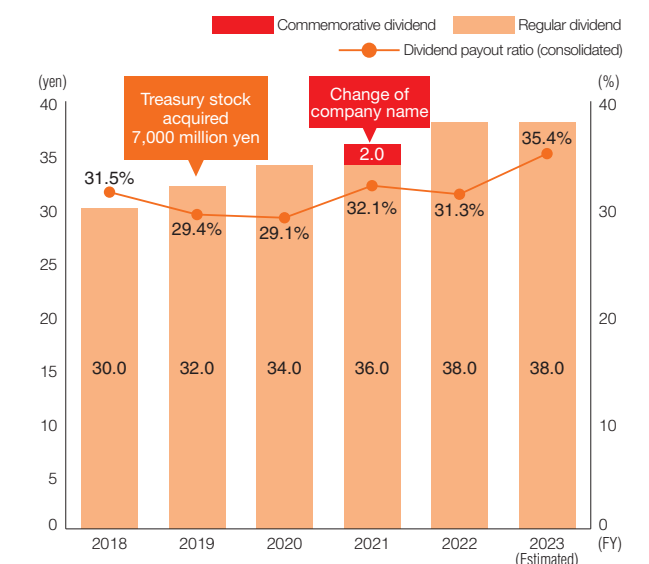
NIPPN CORPORATION's fundamental approach to corporate finance is to realize appropriate allocation of the cash flow generated from the increase in earnings achieved through sustained growth. While giving priority to using cash flow for strengthening the company's fundamentals, growth investment in key areas which constitutes strategic investment, and investment in value-creation businesses and new businesses, we have also adopted a flexible attitude toward acquiring treasury stock to return profits to shareholders, and while taking into account the need for investment to be efficient from a long-term perspective, we decide on funding allocation with the aim of maximizing corporate value.

In addition, while making effective use of financial leverage, we also intend to utilize M&A activity and alliances to expand our Overseas business operations and create new businesses. In order to maintain a financial structure that allows NIPPN to execute flexible funding, NIPPN aims to maintain its long-term credit rating of A.

Furthermore, NIPPN is proceeding with ROIC-focused management, aiming to strengthen its financial fundamentals while also enhancing its capital efficiency, and maintaining a sound balance sheet able to maintain high investment efficiency. Over the period until FY2027, NIPPN will be implementing an "asset light" strategy through asset reduction, the selling off of strategic shareholdings, and the effective utilization and reduction of idle assets.

As medium-term objectives, NIPPN has set itself management indicator targets of raising ROE to at least 6% and ROIC to at least 4%, which will contribute toward enhanced capital efficiency, and we will be working to strengthen our business portfolio management.

Dividends and Dividend Payout Ratio



In line with NIPPN’s management philosophy, which emphasizes working toward the “realization of a sustainable society,” we are further strengthening our sustainability initiatives.



Keizo Kagawa
Managing Director

Since the adoption of the Sustainable Development Goals (SDGs) by the United Nations in 2015, there has been growing global demand for companies to implement sustainability activities more actively than before. These sustainability activities help to secure the future of the Earth, and so it goes without saying that they need to be implemented.

Sustainable corporate activities, which enhance the future value of the company, can be assessed using environmental, social and corporate governance (ESG) indicators which measure non-financial value. The Principles for Responsible Investment (PRI) were announced by the UN in 2006, and following the signing of the PRI by Japan’s Government Pension Investment Fund (GPIF) in 2015, there was a pronounced trend toward ESG-aware investment throughout the world, with ESG indicators coming to be used as a reference by companies when evaluating investment decisions. Set against this background, there has been a global increase in the number of companies that have incorporated a sustainability-based approach in their management strategy and which are viewing sustainability as a source of business opportunities.

In 2022, the NIPPN Group formulated its new management philosophy: “The NIPPN Group contributes to the realization of a sustainable society by pursuing the well-being (happiness, health, and smiles) of people.” This philosophy embodies NIPPN’s goal of fulfilling its corporate social responsibility and realizing sustainable growth as a business enterprise. We will be implementing sustainability initiatives to achieve this sustainable growth and “secure our position as a comprehensive food company of high reputation,” and so that we can continue to be an enterprise that is seen as vital by all people and by society as a whole.

The NIPPN Group’s policy for sustainability initiatives identifies seven key issues: “environmental protection initiatives,” “corporate activities for sustainable growth,” “earning trust of stakeholders,” “offering high-quality products and services,” “initiatives for human capital,” “contribution to international society and local communities,” and “legal

compliance and internal controls.”

With regard to “environmental protection initiatives”, we will promote the development of more environmentally-friendly products, for example by reducing food loss, and adjusting the materials used for product packaging. In addition, starting from 2011 we have been developing the “NIPPN Shikinomori Forest” in Fukagawa City, Hokkaido, with continued implementation of measures to “safeguard biodiversity”, including tree-planting activities in collaboration with local residents.

As regards “corporate activities for sustainable growth”, we are working to diversify our business operations, for example by strengthening R&D and developing plant-based foods.

In terms of “earning trust of stakeholders,” we are striving to implement appropriate disclosure, with a focus on “stakeholder engagement.”

We have also recognized the importance of other key issues, such as “initiatives to enhance customer satisfaction,” “promotion of health and productivity management,” “execution of dietary education,” “engagement with local communities,” and “risk management.” We are constantly reviewing these issues, and working steadily to fulfil our responsibilities in regard to each one. During this process, the needs of the times and of society are constantly changing; we respond to these changes speedily in an appropriate manner and with careful timing.

In the past, the NIPPN Group has implemented various initiatives, with a focus on CSR activities, in different regions. Going forward, while continuing to respect the spirit behind the self-directed initiatives taken in each region, we will be shifting over to an approach based on a unified roadmap in order to implement initiatives in a more systematic manner throughout the company, with the Sustainability Promotion Division at Head Office playing a central role in this process.

We look forward to receiving your suggestions as to how the NIPPN Group can continue to be trusted and seen as vital, in terms of both corporate activities and its role in people’s daily life.

Materiality

The NIPPN Group’s mission is to provide a safe and stable supply of food. Taking into account the impacts on both our business and society as a whole, we have identified seven materiality items (key issues). These are items that we recognize as representing both risks and opportunities for the NIPPN Group as a whole, and as being items of great importance in terms of their impact on society and on the global environment.

In order to contribute to the realization of a sustainable society by pursuing the well-being (happiness, health, and smiles) of people, the NIPPN Group is aiming to proceed with materiality-related initiatives and achieve sustainable growth.

Key issues		Corresponding SDGs	Main measures
Environment	Environmental protection initiatives		- Establishment of environmental management system - Response to climate change - Reduction of food loss - Development of environmentally friendly products - Conservation of water resources - Decrease and reduction of waste, etc. - Protection of biodiversity
	Corporate activities for sustainable growth		- Strengthening of R&D - Strengthening of production systems - Establishment of a sustainable supply chain - Business diversification - Expansion of sales territories/ channels
Social	Earning trust of stakeholders		- Enhancement of engagement with customers - Enhancement of engagement with employees - Enhancement of engagement with suppliers - Enhancement of engagement with shareholders and investors
	Offering high-quality products and services		- Initiatives for enhancing customer satisfaction - Strengthening of quality management systems
	Initiatives for human capital		- Recruitment and development of human resources - Protection of human rights and promotion of diversity - Promotion of work-life balance
	Contribution to global community and local communities		- Execution of dietary education - Support by donating food - Enhancement of engagement with the international and local communities
Governance	Legal compliance and internal controls		- Strengthening of corporate governance - Strengthening of risk management - Strengthening of compliance

- 1

NO POVERTY
- 2

ZERO HUNGER
- 3

GOOD HEALTH AND WELL-BEING
- 4

QUALITY EDUCATION

5

GENDER EQUALITY

6

CLEAN WATER AND SANITATION

7

AFFORDABLE AND CLEAN ENERGY

8

DECENT WORK AND ECONOMIC GROWTH

12

RESPONSIBLE CONSUMPTION AND PRODUCTION

13

CLIMATE ACTION

14

LIFE BELOW WATER

15

LIFE ON LAND

16

PEACE, JUSTICE AND STRONG INSTITUTIONS

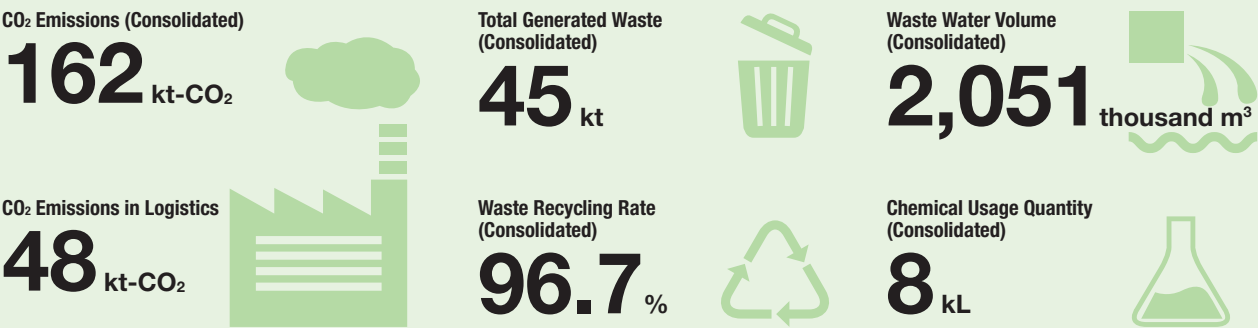
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PARTNERSHIPS FOR THE GOALS

Materiality
Environment

The NIPPN Group is engaged in food-related business activities, benefiting from the bounty of the earth. By reducing the environmental impact of our business activities, we aim to achieve harmony between people and the environment, and contribute to the realization of a sustainable society.

Priority Initiatives and Results in FY2022



Key Issues	FY2022 Initiatives	
	Themes	Major Achievements
Environmental protection initiatives	Establishment of environmental management systems	Continued ISO 14001 certification
	Response to climate change	- Introduction of energy-saving equipment and photovoltaic power generation equipment at plants - Reduction of the environmental impact of logistics by expanding shipping lots and marine transportation - Reduction of logistics energy by transfer of production to the area where products are consumed
	Reduction of food loss	- Continued improvement of labeling of best-before dates for pasta products - Promotion of upcycling of food by-products
	Conservation of water resources	- Reduction of water consumption and raising employee awareness - Promotion of water conservation awareness through environmental education
	Decrease and reduction of waste, etc.	- Reduction of the used amount of chemical substances - Appropriate handling of industrial waste, etc.
	Development of environmentally friendly products	- Reduction of the amount of plastic packaging materials (Promotion of the use of paper trays for pie sheets, etc.) - Development of products using the plant-based food "SOYL PRO" - Release of the "Natural Series" brand - Research and introduction of new environmentally friendly materials
	Protection of biodiversity	NIPPN Shikinomori Forest maintenance and tree planting

Environmental Protection Initiatives

Response to climate change

Awareness of climate change risks

Extreme weather events such as droughts and heavy rainfall due to climate change are expected to affect the yield and quality of crops. This is a risk that could lead to an increase in raw material costs, making it difficult to continue to stably provide products with superior quality, which could affect the Group's business activities. The Group is promoting the introduction of energy-saving equipment and initiatives.

Awareness of water risks

Changes in rainfall, typhoons, and snowfall patterns due to climate change lead to droughts and floods, and shortages of water for agriculture and drinking are becoming more significant each year. Water is an indispensable resource to grow raw materials for the Group, and a shortage of water resources could be a major risk for NIPPN. In addition to conducting water risk assessments at all of our business sites, we also monitor the amount of tap, well, and industrial water used, and are working to ensure that it is used effectively and without waste.

Reduction of plastic use and sustainable use of resources

Measures against plastic waste

As a measure against plastic waste, at the G20 Osaka Summit held in June 2019, each country agreed to introduce a target of aiming "to reduce additional pollution by marine plastic litter to zero by 2050." We are committed to reducing plastic use by reducing the thickness of packaging materials and using paper materials. We also participate in the activities of the Japan Clean Ocean Material Alliance (CLOMA).

Review of packaging materials

We actively employ environmentally friendly packaging materials to reduce our use of plastics. We have renewed the packaging materials for our "nippn Flour We Always Wanted"*1 and "nippn Japanese Flour"*2. In these renewal, the amount of plastic used has been reduced by approximately 40% while maintaining the conventional sealing properties by using a multi-layer structure of paper and film.

*1 "nippn Flour We Always Wanted": A highly granular product that is hard to get clumpy due to its granular evenness achieved by sifting

*2 "nippn Japanese Flour": A product made from 100% Hokkaido wheat

Adoption of paper trays

We use eco-paper trays made from unbleached wood pulp that are environmentally friendly for our Frozen Food "One Plate Meal" series. By using molded containers* when manufacturing the eco-paper trays, we have been able to realize a tray with dividers for frozen foods, which had been difficult to make with paper trays. This has also led to a reduction in plastic use. In the future, we will continue to work on more of our Frozen Foods products to use paper trays.

* Molded containers: Paper molded containers made by dissolving raw pulp in water, straining it through a mold, and drying it



Functional food ingredients manufactured from by-products produced in food plants

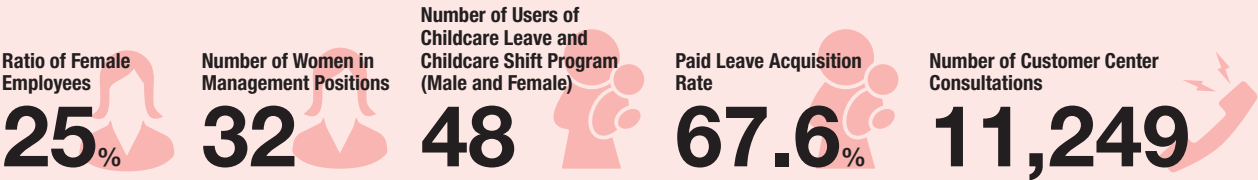
Since we discovered that by-products produced in food plants contain high concentrations of ceramides, we have been considering the use of a variety of food by-products. By-products produced in food plants and crushed meal that we are struggling to dispose of are analyzed to search for ingredients with a high content, and research is conducted in collaboration with universities or research institutions to prove the health function of the ingredients, and then commercialized and sold as ingredients. This initiative received the Award of the Director-General of the Agriculture, Forestry and Fisheries Minister's Secretariat at the 9th Food Industry Mottainai Awards sponsored by the Organization of Food-marketing Structure Improvement in Japan.



Materiality
Social

We would like to strengthen our research, development, and production capabilities to provide safe and secure food, and to deliver happiness and health to our customers. In addition, we will fulfill our social responsibilities to all stakeholders, including our employees, and aim for sustainable growth going forward.

Priority Initiatives and Results in FY2022



Key Issues	FY2022 Initiatives * Includes some initiatives from FY2023	
	Themes	Major Achievements
Corporate activities for sustainable growth	Strengthening of R&D	- The 9th Food Industry Mottainai Awards Received the Award of the Director-General of the Agriculture, Forestry and Fisheries Minister's Secretariat - Release of foods with functional claims: "Flaxseed Wake Up Tea", and "Ceramide Pure White Supplement for Glowing and Hydrated Skin"
	Strengthening of production systems	Decision to construct a new mill in Chita City
	Establishment of a sustainable supply chain	- Improvement of logistics efficiency/holding of meetings on safety of delivery vehicles - Continuation of discussion and coordination with the government/producer groups on stable wheat procurement
Earning trust of stakeholders	Engagement with stakeholder	- Enhancement of the content of proposals to customers and strengthening of contacts - Announcement of long-term vision - Continued purchasing activities while maintaining good relationships with suppliers, and compliance with purchasing policy - Holding of briefings for investor relations, appropriate information disclosure, and dialog with institutional investors
Offering of high-quality products and services	Initiatives for enhancing customer satisfaction	- Holding of continuous meetings to consider product quality improvement - Development and provision of small-volume packaged wheat flour products for commercial use and handy packed type products
	Strengthening of quality management system	- Maintaining JFS-C standard certification - Maintaining ISO 17025 certification - Periodic audit of plants and reviews of raw materials - Establishment of a traceability system
Initiatives for human capital	Recruitment and development of human resources	- Provision of training opportunities such as department-specific training, external training, and online training - Establishment and implementation of programs for developing global human resources
	Protection of human rights and promotion of diversity	- Promotion of the proactive recruitment of diverse human resources - Active utilization of people with disabilities
	Promotion of work-life balance	- Expansion of flexible workstyles - Legal childcare leave acquisition and development of a corporate childcare leave system
	Promotion of health and productivity management	- Ongoing mental health and engagement surveys - Introduction of "Pep Up" healthcare platform
Contribution to global community and local communities	Execution of dietary education	- Launch of "NIPPN Nutrition Information Website" - Gained certification as a "shokuiku (food and nutrition education) promoting enterprise" from the Japanese Society of Shokuiku
	Support by donating food	Donation of foods to food bank and home meal service for children
	Engagement with global community and local communities	- Support for UNICEF and the WFP - Accepting field trips to NIPPN plants

Corporate Activities for Sustainable Growth

Strengthen development and production capabilities

Underlying research and development system

NIPPN aims to flexibly respond to changes in the social and business environment and expand into new research and development fields related to food and health. To this end, it is essential for us to strengthen research and development efforts ranging from basic research to new technologies and products. In addition to expanding existing business fields, research activities aimed at developing and commercializing new fields, and a research system with sophisticated analytical technologies, including Group companies, we have established a development system to create new products and markets that combine market needs and research results, and are engaged in research and development activities. Research and development expenses for the Group as a whole in FY2022 were ¥3,352 million (¥3,330 million in FY2021).

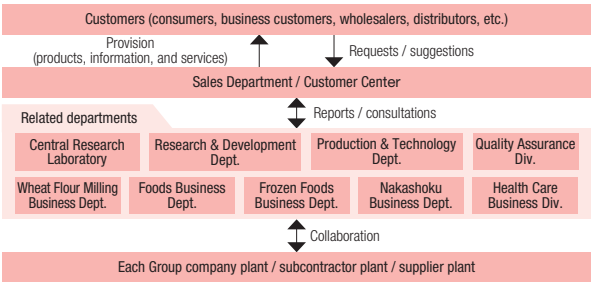
Strengthening production capacity by constructing a new mill in Chita City

We have started construction in Chita City, Aichi Prefecture of a flour mill to serve as a new base at a total cost of ¥14 billion. It is scheduled to start operation in February 2026. The location can be directly connected to silos of the raw material wheat, which will lead to a reduction in raw material procurement costs.

We aim to increase productivity by combining the technological capabilities we have accumulated to date with the latest automation technologies, and to make it a state-of-the-art mill that is resistant to natural disasters and is also sustainable.

In conjunction with the construction of the new mill, we have decided to close our Nagoya and Osaka Mills and expand our facilities at the Kobe-Konan Mill. We will continue to build a more competitive production system for our Flour Milling business.

Role of each organization responsible for product development



Product development system and results

Reflecting customer feedback in our products and services

Our Customer Center works with government agencies and external organizations to gather information, provide in-house training, and disseminate information to the outside world. The Customer Satisfaction Study Group (meetings to consider customer satisfaction) is held mainly at the Customer Center, and by providing valuable customer feedback to relevant departments such as development, quality assurance, purchasing, process management, and plants, we are building a system that can be utilized for product improvement and development.

Maintaining and strengthening the quality control system

In order to maintain and strengthen our quality control system, in addition to establishing safety standards and conducting safety inspections, we identify and improve defects through external audits. All of our plants and some of our Group companies have obtained JFS-C standard certification*.

* JFS-C standard: A certification scheme for internationally accepted food safety management systems originating in Japan developed by the Japan Food Safety Management Association.

Launch of a new series focusing on the nutrients contained in ingredients

In the fall of 2021, we launched the "Natural Series" brand focusing on the nutrients of ingredients. It utilizes whole wheat flour and "SOYL PRO", for which tofu processing technology is applied. We use environmentally friendly packaging materials to deliver products that are both healthy and delicious.



Financial and Non-Financial Data

Financial Data

(Millions of yen)

	FY2013	FY2014	FY2015	FY2016	FY2017	FY2018	FY2019	FY2020	FY2021	FY2022
Financial Results										
Net Sales	271,069	287,109	298,511	311,628	312,932	323,495	335,399	344,839	329,566	321,317
Cost of Goods Sold	200,858	211,822	222,363	230,281	226,338	234,823	243,017	247,264	233,885	246,390
Gross Margin on Sales	70,211	75,286	76,147	81,347	86,593	88,672	92,381	97,575	95,681	74,926
Selling, General and Administrative Expenses	60,497	64,478	67,741	70,253	75,019	78,611	81,159	86,473	85,349	63,644
Operating Income	9,713	10,808	8,406	11,093	11,574	10,060	11,222	11,101	10,331	11,282
EBITDA	17,576	18,851	16,436	18,657	19,289	17,851	18,650	19,476	19,312	21,514
Ordinary Income	10,906	12,248	9,807	12,666	13,162	11,862	13,065	12,740	12,620	14,270
Net Income	7,008	7,810	6,981	8,222	8,934	7,651	8,455	8,941	8,608	9,327
Financial Position										
Current Assets	85,671	87,520	94,362	101,017	92,275	106,608	118,330	114,534	117,900	130,768
Non-current Assets	128,857	139,283	154,527	146,902	159,799	166,719	174,988	175,832	190,067	195,063
Property, Plant and Equipment	78,390	85,042	86,349	85,242	90,380	92,867	101,233	106,957	114,240	115,611
Intangible Assets	1,453	1,543	1,131	833	1,297	1,424	1,376	1,624	2,858	2,529
Total Assets	214,528	226,803	248,890	247,919	252,074	273,328	293,392	290,428	308,017	325,869
Current Liabilities	73,741	62,370	64,616	71,641	63,914	77,681	76,100	74,078	69,661	74,842
Non-current Liabilities	27,523	42,796	46,738	40,534	40,714	38,741	62,305	57,768	69,230	72,328
Interest-Bearing Liabilities	43,505	46,165	47,543	46,967	39,758	45,328	61,973	63,934	71,122	69,661
Total Liabilities	101,265	105,167	111,354	112,176	104,628	116,423	138,405	131,847	138,891	147,171
Total Net Assets	113,263	121,636	137,535	135,743	147,446	156,905	154,986	158,581	169,126	178,697
Total Liabilities and Net Assets	214,528	226,803	248,890	247,919	252,074	273,328	293,392	290,428	308,017	325,869
Cash Flow										
Operating Cash Flow	19,198	15,487	11,803	20,675	17,391	15,217	17,063	15,532	14,804	11,975
Investment Cash Flow	-13,055	-13,349	-8,653	-6,336	-12,646	-11,941	-14,614	-14,130	-12,585	-10,103
Free Cash Flow	6,143	2,138	3,150	14,339	4,745	3,276	2,449	1,402	2,219	1,872
Financial Cash Flow	-6,195	-123	-2,813	-6,210	-11,137	2,824	7,135	-759	2,553	-4,278
Cash and Cash Equivalents at End of Period	10,000	12,202	12,847	20,776	14,368	20,556	30,085	31,012	35,320	31,215
Other										
Capital Investment Amount	12,213	13,374	6,206	7,413	12,023	10,119	15,911	13,067	16,197	11,246
Depreciation	7,863	8,043	8,030	7,564	7,715	7,791	7,428	8,375	8,981	10,232
Research and Development Expenses	2,620	2,660	2,688	2,805	2,971	3,187	3,346	3,381	3,330	3,352

* The "Accounting Standard for Revenue Recognition" (ASBJ Statement No. 29, March 31, 2020), etc. are applied from FY2022.

* "Partial Amendments to Accounting Standard for Tax Effect Accounting" (ASBJ Statement No. 28, February 16, 2018) is applied from FY2019.

Financial Data**1

	FY2018	FY2019	FY2020	FY2021	FY2022
Financial Indicators					
Equity Ratio (%)	55.7	51.2	52.9	53.3	53.4
ROE (%)	5.18	5.59	5.89	5.41	5.51
ROA (%)	2.91	2.99	3.06	2.88	2.94
Total Asset Turnover	1.2	1.2	1.2	1.0	1.0
Financial Leverage (times)	1.8	2.0	1.9	1.9	1.9
Interest-Bearing Liabilities Ratio (%)	29.8	41.3	41.6	43.3	40.0
Dividend Payout Ratio (%)	31.5	29.4	29.1	32.1	31.3
Index per Share					
Profit per Share (yen)	95.34	108.78	116.71	112.27	121.59
Annual Dividends per Share (yen)	30	32	34	36	38
Net Assets per Share (yen)	1,897.64	1,961.17	2,006.14	2,141.91	2,268.30
Stock Information					
Year-End Stock Price (yen)	1,649	1,900	1,687	1,657	1,663
Highest Stock Price during Period (yen)	1,863	2,044	1,925	1,795	1,740
Lowest Stock Price during Period (yen)	1,532	1,641	1,483	1,561	1,546
Price Earnings Ratio (times)	17.30	17.47	14.45	14.76	13.68
PBR (times)	0.87	0.97	0.84	0.77	0.73
Market Capitalization (millions of yen)	136,082	149,765	132,976	130,611	131,084

Non-Financial Data**1

	FY2018	FY2019	FY2020	FY2021	FY2022
Society					
Number of Customer Center Consultations (cases)	14,526	15,159	14,429	13,939	11,249
Number of Employees (people)					
Consolidated	3,696	3,687	3,737	3,880	3,775
Non-consolidated	980	1,002	1,025	1,070	1,137
Number of Female Employees (people)*2	264	267	284	293	320
Ratio of Female Employees (%)*2	24	23	24	24	25
Number of Recruits (people)	55	63	84	93	81
Number of Female Recruits (people)	18	17	27	23	32
Number of Female Managers (people)*2	26	29	29	30	32
Number of Rehired Employees (people)	17	15	14	17	17
Number of Resignations (people)	39	37	40	50	60
Average Overtime Hours (hours)	17.4	17.0	15.4	15.4	17.0
Paid Leave Acquisition Rate (%)	61.4	66.7	75.5	62.7	67.6
Childcare Leave Acquisition Rate (%)*2					
Men	7.9	15.2	43.2	34.5	51.4
Women	90.0	77.8	100.0	75.0	122.2
Employment Rate of People with Disabilities (%)	2.43	1.96	1.89	1.94	2.26
Stress Check Response Rate (%)	95.9	98.2	98.7	99.4	95.2
Environment					
CO ₂ Emissions (1,000 t-CO ₂)*3					
Scope 1	—	—	—	46	47
Scope 2	—	—	—	114	115
Waste					
Total Generated Waste (t)*3	47,796	46,645	47,139	40,971	44,704
Waste Recycling Rate (%)*3	97.3	95.8	95.2	95.8	96.7
Chemical Usage Quantity (l)*3	10,405	10,211	10,827	9,504	8,420
Total Water Used (1,000 m ³)*3	2,387	2,623	2,784	2,662	2,681
Total Wastewater (1,000 m ³)*3	1,851	1,988	2,101	2,141	2,051
Intensity of Energy Use in Logistics (kl/million ton-km)	33.1	30.7	32.9	32.7	30.4
Total Energy Consumption Intensity*4	130.0	133.5	136.5	136.8	138.0

*1 Financial data uses consolidated figures. Non-financial data uses non-consolidated figures unless otherwise stated

*2 Including seconded employees

*3 Consolidated

*4 NIPPN and consolidated subsidiaries with manufacturing departments

Corporate Information

Company Name	NIPPN CORPORATION (Trade Name: NIPPN CORPORATION)
Established	September 1896
Business	Flour Milling Business: Wheat flour, Wheat bran, Warehousing, Port transportation Food Business: Premixes, Corn products, Rice flour, Retail wheat flour, Pasta, Pasta sauces, Whole tomatoes, Olive oil, Flaxseed, Dried noodles, Frozen ingredients, Frozen foods, Nakashoku (ready-made meal) business Other Businesses: Health Care, Pet Food, Biotechnology-related business, Machinery sales, etc.
Representative	Representative Director, President and C.O.O. Toshiya Maezuru
Capital	¥ 12.24 billion
Fiscal Year End	March 31 (annual settlement)
Head Office Location	8, Kojimachi 4 chome, Chiyoda-ku, Tokyo 102-0083
Number of Employees	3,775 (as of March 31, 2022) (consolidated)
Branches	Tokyo No.1, Tokyo No.2, Kanto, Sendai, Nagoya, Osaka, Hiroshima, Fukuoka, Sapporo
Plants and Mills	Yokohama, Chiba, Isesaki, Ryugasaki, Ryugasaki Frozen Food, Nagoya, Osaka, Kobe-Konan, Fukuoka, Fukuoka Nanotsu, Otaru
Laboratories	Central Research Laboratory, Research & Development Dept.
Major Group Companies	NIPPUN SHOJI CORPORATION, Matsuya Flour Mills Co., Ltd, NIPPN Donut Co., Ltd., OHMY Co., Ltd., Nippon Rich Co., Ltd., Fast Foods Co., Ltd., OK Food Industry Co., Ltd., NAGANO TOMATO Co., Ltd., NPF Japan Co., Ltd.
Overseas Locations	United States, China, Thailand, Indonesia

Stock Information as of March 31, 2022

Total Number of Shares Authorized to be Issued	300,000,000 shares
Total Number of Shares Issued	78,824,009 shares
Number of Shareholders	24,338 (+2,133 compared to the end of the previous fiscal year)

Major Shareholders (Top 10)

Shareholder Name	Number of Shares Held (thousands of shares)	Shareholding Ratio (%)
The Master Trust Bank of Japan, Ltd. (trust account)	8,516	11.1
NIPPN Clients Shareholding Association	4,535	5.9
Taiju Life Insurance Co., Ltd.	3,497	4.5
Mitsui & Co., Ltd.	3,349	4.4
Duskin Co., Ltd.	2,510	3.3
Itochu Corporation	2,250	2.9
Sumitomo Mitsui Banking Corporation	2,246	2.9
The Norinchukin Bank	2,060	2.7
Mitsui Sumitomo Insurance Company, Limited.	2,004	2.6
Custody Bank of Japan, Ltd. (trust account)	1,757	2.3

* The calculation of the shareholding ratios excludes 1,871,000 treasury shares.